

Loan Default Risk Analysis

Objective

The objective of this project was to analyze loan default data and identify key borrower and loan characteristics that may influence repayment behavior. The analysis aimed to uncover business insights that can support better lending decisions, reduce default risk, and improve portfolio performance.

Dataset

The analysis was performed using a Loan Default Dataset containing borrower demographics, loan information, credit-related attributes, income details, and loan status records. Key variables included Age, Gender, Region, Loan Amount, Loan Type, Credit Score, Income, and Loan Status.

Methodology

1. Reviewed and understood the dataset structure and business context.
2. Performed data quality assessment to identify missing values and inconsistencies.
3. Conducted data cleaning and standardization of selected fields.
4. Created derived categories such as Loan Size for better segmentation and analysis.
5. Performed exploratory analysis to identify trends and patterns.
6. Developed an interactive dashboard using Looker Studio for visualization and reporting.
7. Generated business insights and recommendations based on the analysis findings.

Tools Used

- Google Sheets
- Looker Studio
- ChatGPT

Deliverables

- Completed Assessment Workbook

- Processed Data Worksheet
- Business Analysis and Findings
- Interactive Dashboard
- Management Presentation
- Recommendations and Documentation

Conclusion

The project provided valuable insights into borrower behavior, loan distribution, and potential risk factors. The findings can help organizations improve lending strategies, strengthen risk assessment processes, and support data-driven business decisions.

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